



Trader Kane's Playbook

SMT Divergence + PO3 (power of 3)

Instruments:

Futures

Crypto

Trading Style:

Scalping

Day Trading

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Playbook Overview

This strategy is built around the idea that price often returns to the 50% level of a previous price range before continuing in the direction of the broader trend. The model focuses on moments when price manipulates a key high or low, then quickly reverses back into the range, offering a high-probability entry with clearly defined risk.

The strategy follows a top-down approach — starting from the Daily chart, moving to the 4H, then the 1H, and finally using the intraday chart for precise entries. A high-probability setup forms when all these timeframes align around a key 50% level, and a reversal structure is confirmed.

It uses the Power of Three (PO3) structure, accumulation, manipulation, and distribution, to frame market behavior. It relies on tools like SMT divergence (between NQ and ES) and inversion zones to time trades.

The goal is not to catch full trend moves. Instead, the focus is on consistent, repeatable base hits, capturing the cleanest part of the move back into the 50% level. If the trade continues beyond the target, that's a bonus — but the model is designed to take high-quality setups with tight risk and fast execution, day after day.



When to Use This Strategy

Use this strategy when:

- You see a clean trend on the higher timeframe.
- Price has pulled back and is trading near the 50% level of a key range.
- A liquidity sweep or manipulation has occurred at a key time (typically around 10:00 AM EST).
- You see a clear SMT divergence between NQ and ES (they don't make the same highs or lows).
- You spot an inversion zone or fair value gap that the price is reacting to.

The Core Idea

The model is built around the Power of Three (PO3) – a 3-phase structure that appears in price action:

- **Accumulation** – Price trades sideways and builds a range.
- **Manipulation** – Price sweeps liquidity above or below that range.
- **Distribution** – Price reverses and delivers back into the 50% area.

You're not trying to catch the full trend. You're just trading the manipulation back into the 50% zone.

Timeframes Used

This strategy uses a top-down approach to build bias and a lower timeframe to execute entries:

Daily Spot the previous day's high or low and mark the 50% level of large ranges. This gives you your directional bias and target area.

4H Identify the midpoint of recent swings and check for PO3 structure (accumulation → manipulation → distribution). You want to see if the price is setting up for a reversal or continuation.

1H Look for alignment with Daily and 4H. PO3 structure should also be visible here. SMT divergence between NQ and ES usually appears around this timeframe.

Intraday (Entry Timeframe): Once the higher timeframes line up, use the intraday chart to time your entry. Look for a clean breakdown or retest of the inversion zone, often following SMT confirmation.

Playbook Rules

Top-Down Bias

- Start on the Daily chart.
- Mark the high and low of the swing.
- Identify the 50% level. This is the midpoint of that range. Price tends to return here.
- Now, check the 4H chart. Does it also show the same 50% idea? Has a recent high or low been swept?
- Finally, move to the 1H chart. You want to see price showing signs of turning around, often with a wick around 10:00 AM.

Once all three timeframes line up (Daily, 4H, 1H), you're looking for your setup.

Wait for Manipulation and SMT

At this point, you need to be patient.

- Look for a manipulation move at a key time (usually around 10:00 AM EST).
- Price might sweep above a previous high (if bearish setup) or below a low (if bullish setup).
- Check for SMT Divergence, for example, if NQ makes a new high but ES doesn't, that's a sign of possible reversal. This is your signal that the manipulation may be done.

Find the Inversion Zone

- After manipulation, Price often reacts from a prior imbalance or inversion zone (a previous support that now acts as resistance).
- Wait for the price to break down or reject from this zone.
- You can place a sell stop under the breakdown candle or limit in on a retest of the inversion zone.

Enter the Trade

Once your entry criteria are met:

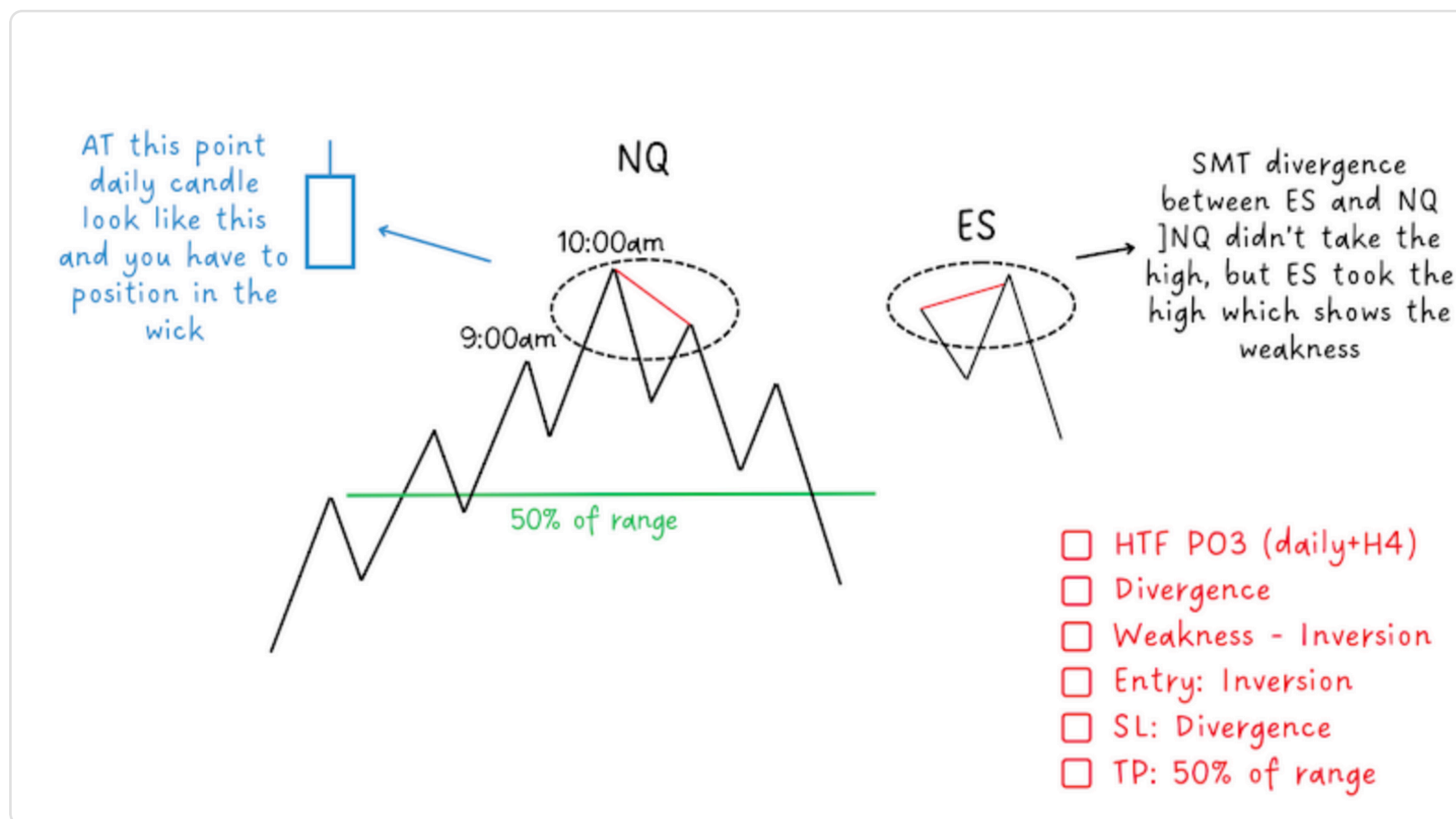
- Entry: Breakdown candle closes below the inversion zone.
- Stop Loss: Just above the SMT high (or low if long).
- Target: The 50% level of the impulse move — this is your base hit.

Manage the Trade

- Base hits are the goal — don't aim for the full move unless price is moving with strong momentum.
- As soon as the price moves in your favor and confirms, move the stop to break even to eliminate risk.
- If price returns back above the manipulation candle's high/low, you're likely wrong and should be out.

Visual Example

Before we get into the live trade example, it's helpful to see what a clean setup looks like in a simple, visual way. The diagrams below show the key parts of the SMT Divergence + PO3 model and how it works, step by step.



Pros & Cons of the Strategy

This model is designed to deliver high-quality, repeatable setups — but like any trading method, there are key things to understand before using it.

Note: The cons listed here aren't disadvantages. They are things to be aware of — important characteristics that require patience, discipline, and proper management to make the model work effectively.

✓ Pros

- **Catch the High or Low of the Day:** When the setup aligns, you're often entering at the most efficient point in the session, right near the high or low.
- **Clean, Defined Setups:** The PO3 structure plus SMT divergence makes for a high-confluence, high-probability setup.
- **Built for Base Hits:** You're not trying to catch massive moves — just that clean, high-quality move into the 50% zone. Consistent base hits stack up fast.
- **Top-Down Structure:** You get alignment across Daily, 4H, and 1H. That gives you confidence and helps avoid weak setups.
- **Works Across Timeframes:** While it's designed for intraday trading, it works on higher timeframes too.
- **Quick Trades, Quick Results:** On days when the model is active, price moves sharply once the conditions are met. You're often in and out before midday.

✗ Cons (Things to Be Aware Of & Manage)

- **It's a Reversal Strategy:** You're fading price. That means you're going against current momentum — it's risky unless you wait for confirmation.
- **Requires Patience:** You've got to wait for the setup to form properly. A lot of people don't want to wait, and that's where they go wrong.
- **High Break-Even Rate:** The strategy uses a strict break-even rule — once the trade starts working, the stop is moved to protect the trade. This helps avoid losses, but it also means a lot of trades might close with no profit.
- **Discipline Is Non-Negotiable:** If you enter too early, skip SMT confirmation, or ignore PO3 structure, the edge is gone. You have to follow the rules.
- **Takes Reps to Build Intuition:** While the rules are clear, the best setups become easier to spot through repetition and screen time.

Trade Breakdown

Start with the daily chart and mark the previous day's high and low.



On the 4-hour chart, price had recently pushed into a premium zone and swept a prior high. This completed the Manipulation phase of the PO3 structure. A sharp rejection followed, indicating that the Distribution was underway.

The 4H chart showed:

- Accumulation (range building before)
- Manipulation (liquidity grab above the high)
- Rejection from a premium zone (Distribution)

This confirmed that the model's structure was in place for a potential reversal.



Moving to the 1H chart, we observed a second PO3 forming in sync with the 4H structure.



At around 10:00 AM EST, NQ pushed higher into a previous high while ES did not. This created a clear SMT divergence — a key signal that the manipulation might be ending.

Price reached an area of previous imbalance (an inversion zone), then began rejecting from that area. We now had:

- H1 PO3 structure.
- SMT divergence between NQ and ES.
- Price is in a premium zone.

Everything is aligning.



After the SMT divergence was confirmed and the price rejected the inversion zone, we dropped to the 3-minute chart to execute.



Price formed a pattern and failed to push higher. Once the price closed below the inversion zone, a sell stop was placed beneath the breakdown candle.

Entry: Sell stop triggered as price broke below the inversion zone
Stop Loss: Placed just above the SMT high

Target: The 50% level of the H1 dealing range (base hit)

This setup allowed us to trade with defined risk and high confluence from all timeframes.

Once the trade triggered and price began moving lower, the 11:00 AM hourly candle flipped bearish — a key condition for break-even management in this model.

At that point, the stop was moved to break-even. Price quickly moved in our favor and delivered cleanly to the 50% level of the range.



The target was hit at the 50% level for a base hit.

Although the market moved much lower later in the session, the model is not designed to catch extended runs. It's built for catching the cleanest part of the reversal, and this trade executed that perfectly.

Playbook Criteria

Timeframes

- **Daily** – to set the overall bias and key levels.
- **4-Hour (H4)** – for identifying structure within the current range.
- **1-Hour (H1)** – to confirm manipulation and entry triggers.
- **3-minute or 5-minute** charts for more precise entries once the setup forms.

Entry Rules

- Wait for price to trade into a key area — typically into premium (above 50%) if looking for shorts or discount (below 50%) if looking for longs.
- Look for divergence between NQ and ES (this is called SMT divergence):
Example: NQ makes a new high, but ES does not.

Check for PO3 structure:

- Price should show Accumulation → Manipulation → Distribution (or the opposite if long).
- This pattern should align across daily, 4H, and 1H timeframes.
- Wait for confirmation before entering:
- After price sweeps a key level, it should reverse with a clear shift in momentum (a “flip” in candle direction).
- Place a stop order (sell stop or buy stop) to enter after the flip

Stop Loss

- Place your stop just above the high (for shorts) or below the low (for longs) that created the sweep.
- This is the level where the setup becomes invalid.

Take Profit

- Aim for a base-hit target — typically 50% of the dealing range you’ve marked using the daily and 4H charts.
- This level gives consistent, reliable trades without trying to catch the full move.
- If the trade moves quickly in your favor, you can trail your stop to lock in more profit.

Risk Management

- Move to break-even as soon as price takes out a meaningful structure level (e.g., a 15-min low or high).
- If price has already hit the 50% level, avoid entering — the opportunity has likely passed.

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